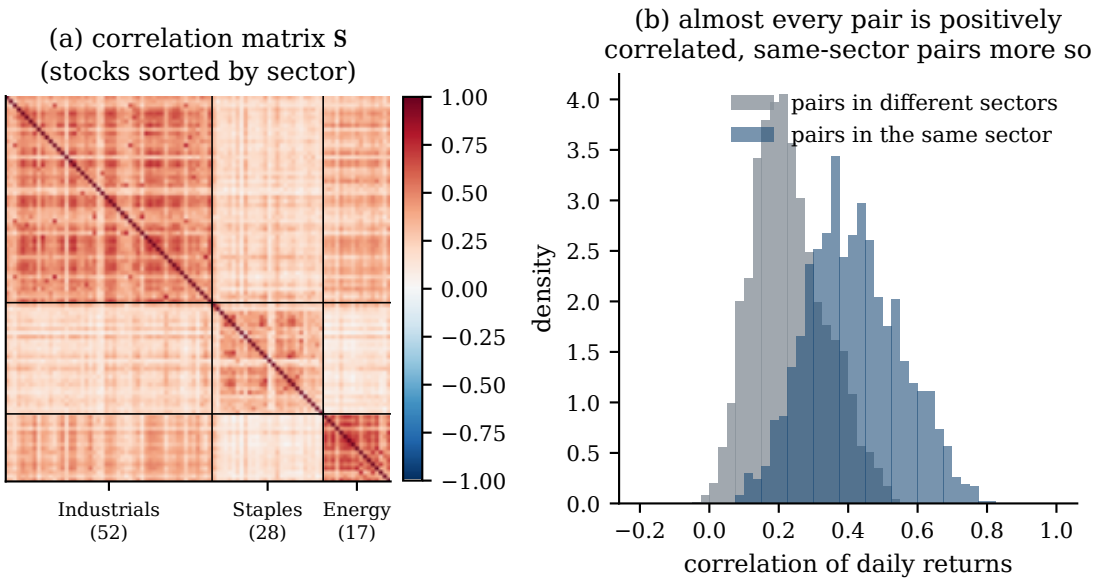

(a) correlation matrix S
(stocks sorted by sector)
1.00
0.75
0.50
0.25
0.00
−0.25
−0.50
−0.75
−1.00
Industrials
(52)
Staples
(28)
Energy
(17)
(b) almost every pair is positively
correlated, same-sector pairs more so
pairs in different sectors
pairs in the same sector
density
4.0
3.5
3.0
2.5
2.0
1.5
1.0
0.5
0.0
−0.2
0.0
0.2
0.4
0.6
0.8
1.0
correlation of daily returns